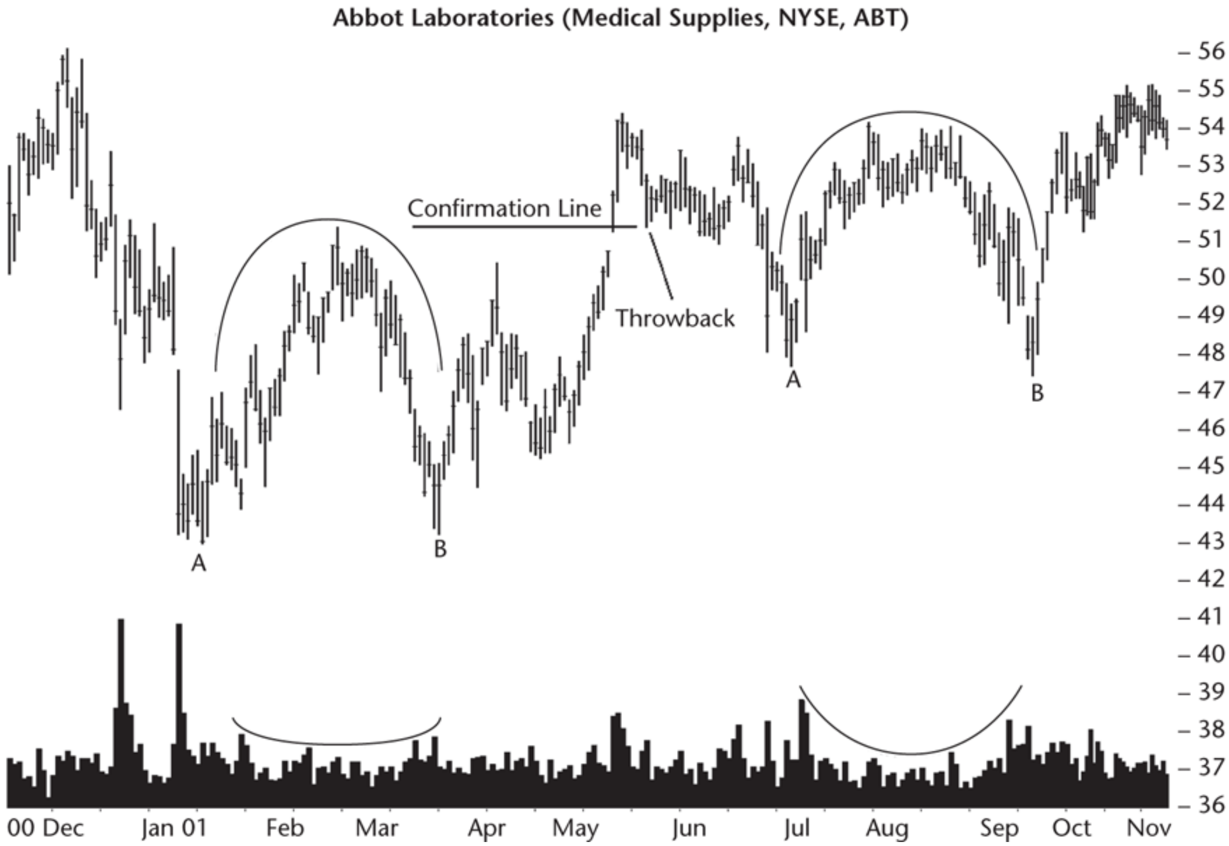

Figure 56.2 Two rounding turns with the ends nearly at the same price. Both have U-shaped volume and upward breakouts.

Appearance. Figure 56.2 shows a good example of a rounded top in the pattern on the right of the chart, from July to September. Price rises from point A (in both patterns) and rounds over at the top of the pattern. Price heads down and retraces much of the prior rise, leaving behind a dome or inverted bowl on the chart.

Daily or weekly scale. Rounded turns are often wide and tall enough to appear on either the daily or weekly charts.

Even end price. Look for the ends of the rounding turn to bottom near the same price. In the patterns I looked at, the bottom-to-bottom price variation averaged 4%, with a median of 2%. What you want to avoid is selecting patterns that are really inverted scallops. Those have starting or ending prices well away from the other rim. However, if price forms a nice and *wide* dome shape with uneven bottoms, that's fine. The preference is to have the two valleys bottom near the same price.